

accelerate investment in hyperscale data centres, with spill-over benefits for electronics hardware, power systems, and cooling technologies.

Capital goods, rare earths, and clean energy inputs

To strengthen capital goods capability, Central public sector enterprises will establish hi-tech tool rooms at two locations. These digitally enabled facilities will design, test, and manufacture high-precision components locally at scale and lower costs.

Focusing on critical manufacturing again, the government also plans dedicated Rare Earth Corridors in mineral-rich states, including Odisha, Kerala, Andhra Pradesh, and Tamil Nadu. Following the Rare Earth Permanent Magnet Scheme launched in November 2025, the initiative supports mining, processing, research, and manufacturing critical to electronics, EVs, and renewable energy.

Customs duty exemptions now extend to capital goods for lithium-ion cell manufacturing and to sodium antimonate imports used in solar-glass production.

“The proposal to create Rare Earth Corridors is the missing link for India’s EV sovereignty, directly addressing long-standing dependence on imported NdFeB magnets,” says Jaideep Wadhwa, Director at Sterling Tools Limited, describing the initiative as a milestone.

AI and emerging technologies take centre stage

AI features prominently in the government’s technology strategy. Continued support has been reaffirmed for the AI Mission, the National Quantum Mission, the Anusandhan National Research Fund, and the Research, Development and Innovation Fund.

A ₹100 billion SME Growth Fund aims to nurture future champions, complemented by a ₹20 billion top-up to the Self-Reliant India Fund

Commodity/Goods	Previous Duty	New Duty	Effective Date
Monazite (renewable energy use)	2.5%	Nil	Immediate
Sodium antimonate (solar glass manufacture)	7.5%	Nil	Immediate
Capital goods for lithium-ion cell manufacturing (battery energy storage systems)	Applicable rate	Nil	Immediate
Specified goods for microwave ovens (tariff item 8516 50 00)	Applicable rate	Nil	Lapses 01.04.2026
Silicon for undiffused wafers (solar cells/modules)	Concessional	Withdrawn	01.04.2026
Flat panel detector (X-ray machines)	Concessional	Withdrawn	01.04.2026

for micro-enterprises. Although not electronics-specific, these funds may support growth-stage electronics and deep-tech startups facing high capital requirements and long commercialisation timelines.

Industry leaders welcomed the emphasis but highlighted gaps. Suggestions include treating AI as strategic infrastructure, restoring the 200% weighted deduction for R&D, offering customs duty relief on GPUs and TPUs, and accelerating deployment of the Deep Tech Fund of Funds.

Covasant Technologies echoed similar expectations around affordable AI infrastructure, R&D tax credits, regulatory sandboxes, and public procurement for Indian AI firms.

Post-Budget, Atul Rai, CEO and Co-founder of Staqu Technologies, said the Budget clearly recognised AI as a strategic driver of inclusive growth and marked a shift from experimentation to large-scale deployment.

EVs and electronics: Expectations vs delivery

While upstream electronics gains traction, EV-focused stakeholders argue that several persistent issues remain. The inverted GST structure continues, with EVs taxed at 5% but key inputs at 18%. Industry representatives also seek targeted incentives for electric motorcycles, which dominate the two-wheeler market but remain under-electrified.

Similarly, Kunal Arya of Zelio

E-Mobility and Sameer Moidin of EVeium Smart Mobility emphasised the need for deeper localisation of battery cells, controllers, and power electronics, rationalised GST, affordable financing, and a clear national charging roadmap.

Despite support for battery manufacturing and rare earth inputs, direct GST reforms and demand-side EV incentives are absent.

Television and consumer electronics

Ahead of the Budget, Arjun Bajaj of Videotex called for a dedicated PLI scheme for television manufacturing, temporary duty relief for critical components, and export-focused incentives. While no TV-specific PLI was announced, broader investments in components, semiconductors, and capital goods may offer indirect support.

Budget overview

At the macro level, capital expenditure would rise from ₹11.2 trillion in FY26 to ₹12.2 trillion in FY27. The fiscal deficit would narrow to 4.3% of GDP, down from 4.4%, meeting the government’s commitment to reduce the deficit below 4.5% by FY26. Nominal GDP growth is projected at 10.5-11%, with non-debt receipts estimated at ₹36.5 trillion. **EFY**

Shubha Mitra, Assistant Editor at EFY, is keenly interested in policies and developments shaping the electronics business.